

Hindustan Aeronautics Ltd

Investment Rating : Excellent

Company Overview

Website	https://hal-india.co.in/
Sector	nan
Market Cap	2,643,616.86 Cr
PE Ratio	71.89
PB Ratio	3.65
Dividend Yield	2.77 %

Financial Quality

ROE	28.9
ROCE	38.9
CFO Quality	Moderate
FCF CAGR	-5.00%
Capital Pattern	Growth Focused

Capital Allocation

Capital Score	100.0
Reinvestment	Growth Focused
Debt Trend	Increasing Debt
Leverage	Moderate

Business Overview

Hindustan Aeronautics is engaged in the business of Manufacture of Aircraft and Helicopters and Repair, Maintenance of Aircraft and Helicopters

Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
Strong free cash flow generation over 5 years signals healthy business fundamentals.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.

Risks

Rising debt over the past 3 years suggests increasing financial leverage risk.